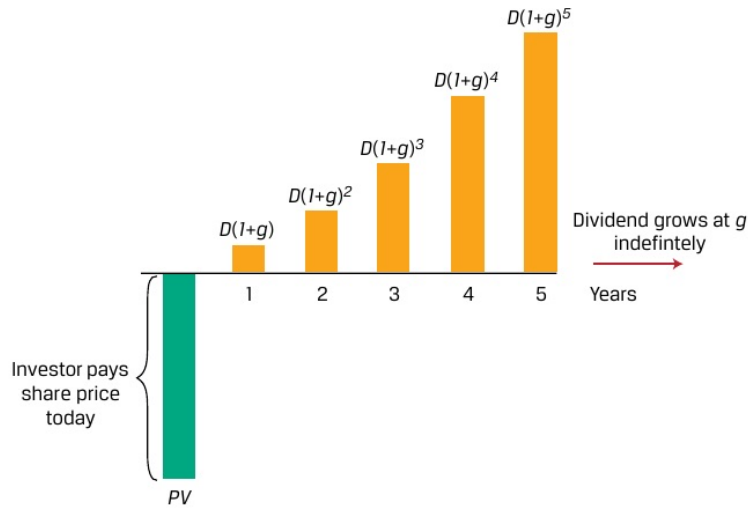


Exhibit 5: Equity Cash Flows with Constant Dividend Growth

If dividends grow at a rate of g per period and are paid at the end of each period, the next dividend (at time $t + 1$) may be shown as follows:

$$D_{t+1} = D_t(1 + g), \quad (11)$$

or generally in i periods as:

$$D_{t+i} = D_t(1 + g)^i. \quad (12)$$

If dividend cash flows continue to grow at g indefinitely, then we may rewrite Equation 10 as follows:

$$PV_t = \sum_{i=1}^{\infty} \frac{D_t(1 + g)^i}{(1 + r)^i}, \quad (13)$$

which simplifies to:

$$PV_t = \frac{D_t(1 + g)}{r - g} = \frac{D_{t+1}}{r - g}, \quad (14)$$

where $r - g > 0$.

An alternative to constant dividend growth is an assumption of changing growth. This is common for evaluating the share price of firms expected to experience an initial rapid rise in cash flow, followed by slower growth as a company matures. The simplest form of changing dividend growth is the two-stage model shown in Exhibit 6.